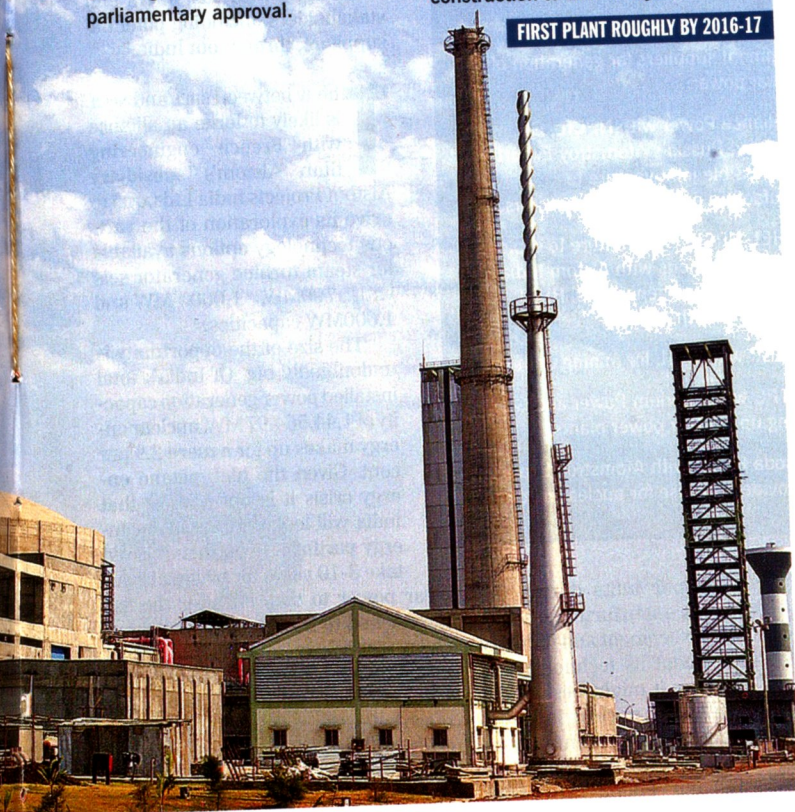


THE NEXT STEPS

- Operationalisation of 123 Agreement, including exchange of diplomatic notes, and fixing a date when it will come into force, are likely to take four months (up to December 2008).
- Bilateral agreements for civil nuclear cooperation with other countries to take two months.
- Amendment of Indian Atomic Energy Act, 1962 for opening up to private companies (which is contingent on the Government deciding on partners) will need parliamentary approval.
- Enacting Civilian Nuclear Liability Law will take one House session (a month and a half).
- Acquiring the fuel needed for the pressurised heavy water reactors running at low capacity to take six months to end of next year.
- Formal accord with the IAEA for safeguards to specifically meet India's nuclear weapons status to take six to seven months.
- Setting up plants: Fixing sites, acquisition of land and nuclear plant construction to take five years.

FIRST PLANT ROUGHLY BY 2016-17



NATIONAL PRIDE: Prime Minister dedicates Tarapur reactors to nation

expertise and funds are opened up, the nuclear power capacity can be ramped up to 20,000 MW by 2020 and another 20,000 MW can be added by 2030.

There, of course, is the cost effectiveness, claim companies involved in constructing nuclear plants and supplying nuclear fuel. The per-unit tariff from the plants would be quite cheap. While in the US, it is 2 cents a kilowatt, NPCIL sells it below Re 1 in India. According to M.V. Kotwal, L&T's senior vice-president, heavy engineering, roughly the cost of putting up a light water reactor—which is what India needs—is Rs 7 crore per megawatt. "Keeping in mind each reactor of 1,500 MW, that is the kind of money spinner we have," Mitra says at least 400 firms would jump on to the nuclear bandwagon to get a share of the \$100 billion-plus business, ranging from equipment supply to generation.

American companies hope to capture a sizeable share of the Indian civilian nuclear sector, says Ron Somers, president, US-India Business Council (USIBC). Of course, neither party can do this alone. The plan requires more than just fuel, so companies are talking to overseas players and Indian PSUs, for everything from equipment to turnkey ability to set up plants. Tie-up talks are in the preliminary stages but the great nuclear tango has begun.

So, while uranium mining major WM Mining has agreed to sell 500 metric tonne uranium a year to India's Nuclear Fuel Complex, Tata Group is likely to partner French major Areva SA that is involved in construction of nuclear plants. Tata Group companies have done considerable homework for the venture, said Ratan Tata, chairman of the group, while addressing



"At least 400 firms would want a pie of the \$100 billion-plus nuke business over the next five years."

AMIT MITRA
General Secretary, FICCI



"Westinghouse is eager to support India in its goal of energy independence."

ROBERT T. PEARCE
Director, Global Business Development, Westinghouse